

Hertz Global Holdings, Inc.: accounting assessment, FY2013

Single-year read of the Form 10-K for the year ended December 31, 2013. All amounts are in \$ millions; shares are of 2013 pre-tax income of \$663.1 (10-K p. 76). Page references are to the FY2013 10-K unless stated.

1. Policy profile

Area	What the report says	Where it sits	Why, in a few words	Size
1. Revenue recognition	Rental revenue over the rental period; reimbursements gross where principal; sales tax net (p. 90)	Typical	Standard for rental, on general practice	Not quantified
2. Reserves and allowances	Self-insured liability claims "have historically resulted in relatively minor adjustments" (p. 45); doubtful-accounts allowance 30.8 (p. 158)	Can't tell: not enough disclosed	No movement table for the liability reserve; the allowance looks typical at 2.0% of gross receivables and 0.76x the year's write-offs	Bad-debt charge 41.9 = 6.3%; liability reserve 347.7 (balance)
3. Capitalized costs and useful lives	Cars held "4 to 36 months" (p. 91); U.S. rate changes gave "net decreases of \$44.2 million" in depreciation beside "net losses of \$48.2 million" on U.S. disposals (p. 126)	Leans aggressive	Rates cut while cars sold below book; residual values not disclosed	44.2 = 6.7%
4. Impairment and goodwill	"no impairment existed" (p. 94); five reporting units, no headroom given (p. 46)	Can't tell: not enough disclosed	No cushion, discount rate or growth rate shown	Not quantified; goodwill plus indefinite-lived intangibles 4,697.6 (balance); 40.0 vehicle impairment taken = 6.0%
5. Off the balance sheet	Operating leases and concessions, purchase obligations, letters of credit; financing entities consolidated (pp. 69-70, 104, 130)	Typical	Disclosed with amounts	Exposures: leases and concessions 2,727.7; purchase obligations 4,757.6; letters of credit 644.9
6. Related parties	Director-linked dealings, executive relocation, former sponsor debt (pp. 147-148)	Typical	Small and described	Not quantified
7. Contingencies	Nevada concession-fee judgment "could potentially exceed \$40.0 million" (p. 137), yet "none of those reserves are material" (p. 138)	Leans aggressive	Court granted partial summary judgment on restitution; no material accrual; rests on general practice	Exposure above 40.0 = 6.0%, not an income effect
8. Auditor's report and controls	Unqualified; controls "effective" (pp. 74, 159), while errors "would have been material to the fourth quarter" (p. 83)	Leans aggressive	Errors spanning 2010-2013 with no control deficiency reported	No 2013 income effect after revision; errors corrected 46.3 = 7.0% (scale only)
9. Adjusted measures	Adds back "certain one-time charges" (p. 50)	Leans aggressive	Restructuring excluded every year	All adjustments 490.1 = 73.9%; restructuring and related 98.8 = 14.9%

2. Write-ups

Depreciation of U.S. rental cars: rates cut in a year of disposal losses

- **The report says:** the U.S. rate reduction "was also indicative of the residual values experienced in the U.S. for the years ended December 31, 2013, 2012 and 2011" (Note 8, p. 126; repeated in the management discussion, p. 42).
- **Test:** The claim is that, for U.S. car rental in 2013, realized resale values supported lower depreciation rates. The matching number is the same note's U.S. disposal result: a net loss of 48.2 in 2013 (gains of 100.6 in 2012 and 114.9 in 2011), which the note attributes to "declining residual values". The management discussion also cites "a deterioration in the used vehicle residual values" (p. 54). The claim holds for 2012 and 2011 but not for 2013. Size: the rate cut of 44.2 is 6.7% of pre-tax income; the disposal loss beside it is 7.3%.
- **Reading:** Most likely the reporting stretched at the margin on top of a weakening used-car market, because depreciation was lowered while cars were being sold below book. The reading would change if the rate cuts applied to different cars from those sold at a loss, for example Dollar Thrifty fleet with re-set holding periods.
- **Read next:** the quarterly split of rate changes and disposal results in the 2013 10-Qs, the residual-value assumptions by fleet, and the first 2014 disposal results.

The related claim that "U.S. monthly per vehicle depreciation costs decreased" (p. 42) can't be tested as stated. The report gives no per-vehicle figure, and the segment line includes lease charges. That line per company-operated car rises from about \$219 to \$226 a month; including leased cars it falls from about \$218 to \$216.

Adjusted pre-tax income: recurring restructuring labelled one-time

- **The report says:** the measure adds back "certain one-time charges and nonoperational items" (management discussion, p. 50; Note 11, p. 131).
- **Test:** The claim is that the excluded charges are one-time, at company level, in each year shown. Restructuring charges were excluded in all three years (77.0, 38.0 and 56.4), and the report says initiatives ran "During 2007 through 2013" at a cumulative 645.4 (p. 140). Restructuring-related charges were also excluded each year (21.8, 11.1, 9.8). The claim does not hold for these lines. Size: 98.8 = 14.9% of pre-tax income; all adjustments are 490.1 = 73.9% (adjusted 1,153.2 against reported 663.1).
- **Reading:** Most likely ordinary practice that flatters the measure, since the report itself says "Additional efficiency and cost saving initiatives are being developed" (p. 44). A year with no restructuring charge would point the other way; 21.9 of 2013 was the headquarters move.
- **Read next:** the 2014 restructuring guidance and the cash paid against the 48.4 accrual (p. 141).

Controls: judged effective in a year of multi-period error corrections

- **The report says:** internal control "was effective as of December 31, 2013" (Item 9A, p. 159), and the auditor agrees (p. 74).
- **Test:** Nothing a number can test directly. The same report records "out of period errors totaling \$46.3 million" found in the fourth quarter (Note 2, p. 83): 34.7 from 2012 and earlier plus 11.6 from the first nine months of 2013, which ties. The 34.7 is 56% of fourth-quarter pre-tax income of 62.3, and 2011 pre-tax income as first reported was overstated by 18.7, or 5.8%. A debt requirement was also "unknowingly not being met" (Note 19, p. 150). Item 9A mentions neither. Size: no effect on 2013 pre-tax income after the revision; 46.3 is 7.0% of it as scale.
- **Reading:** Possibly the reporting stretched, on the general-practice view that a material weakness covers interim as well as annual statements. If the company's own controls caught the errors and the deficiencies were assessed as less than material, the conclusion would be ordinary.
- **Read next:** any later disclosure of how the errors were found, the deficiency evaluation, and whether further revisions follow.

3. Also noted

- **Tie-out gaps:** the doubtful-accounts provision is 45.9 in the cash flow statement (p. 80) and 41.9 in Schedule II (p. 158). The Simply Wheelz impairment is 40.0 (pp. 80, 146) and 44.0 "impairment charges and other" (pp. 50, 56). Both differ by 4.0.
- **Adjusted net income tax rate:** adjusted net income uses a "normalized income tax rate" of 35% (Q4 2013 earnings release, non-GAAP definitions, unnumbered page) against an effective rate of 47.8% (p. 57). That is about 147.6 less tax on adjusted pre-tax income, or 22.3% of reported pre-tax income.
- **Intangible lives:** stated to "range from two to fifteen years" (p. 93), but Donlen customer relationships are 16 years and its trademark 20 (p. 99), and the property table shows "3 to 10 years" (p. 91).
- **Small arithmetic differences:** the text says selling, general and administrative expenses "increased \$52.6 million" (p. 55), while the table shows 54.1 (p. 52). The 2010 accumulated deficit is 1,123.2 in Note 2 (p. 84) and 1,123.3 in the equity statement (p. 78).

4. Not in the documents

The report has no critical audit matters or emphasis paragraph, no claims movement table for the self-insured liability reserve, no goodwill headroom, no policy for loyalty-programme costs, and no mention of unbilled revenue, factored receivables or supplier finance. Item 13 related-party detail is incorporated from the 2014 proxy statement, which is not attached.